



Income Tax Department

Ministry of Finance, Government of India

¹⁰[Penalty for failure to furnish information or for furnishing inaccurate information on transaction of crypto-asset.

446. (1) If any person who is required to furnish a statement in respect of a transaction of a crypto-asset under section 509(1), fails to furnish such statement within the time prescribed under the said section, the prescribed income-tax authority under that section may impose on him, a penalty of Rs. 200 for every day for which such failure continues.

(2) The prescribed income-tax authority may impose a penalty of Rs. 50000 on a person referred in sub-section (1), if such person—

- (a) provides inaccurate information in the statement and fails to remove such inaccuracy as per section 509(4); or
- (b) fails to comply with due diligence the requirement under section 509(5).]

10. Sub. by Act No. 4 of 2026, w.e.f. **1-4-2026**. Prior to its substitution, section 446 read as under :

"446. *Failure to get accounts audited.*—If any person fails to get his accounts audited for any tax year or years or furnish the audit report as required under section 63, the Assessing Officer may impose a penalty on such person, which shall be the lesser of—

- (a) 0.5% of the total sales, turnover, or gross receipts in business, or the gross receipts in profession for such tax year or years; or
- (b) Rs. 150000."

